APPLIED LAW | FINANCE RELATED ACTS

Nepal Rastra Bank Act, 2058

नेपाल राष्ट्र बैंक ऐन, २०५८

For Application / CAP II Level

With coverage of Learning Objective (LO) as per new syllabus

By CA Govinda Tamang

With latest amendment

Syllabus Weightage

Applied Law



	Syllabus Area	Weighting (%)
1	**Nepal Chartered Accountants Act, 2053,** rules and Government Audit	10%
2	**Industry Related Acts:** Companies Act, 2063, Industrial Enterprises Act, 2076 and Foreign Investment and Technology Transfer in Nepal	30%
3	**Finance Related Acts:** Banks and Financial Institutions Act, 2073, Nepal Rastra Bank, 2058, Insurance Act, 2079 and Securities Act, 2063 and rules	30%
4	**Labour Act, 2074 and Other Acts Related to Employment**	10%
5	**The National Civil (Code), 2074 (Part V)**	10%
6	**Acts related to Social Organizations**	5%
7	**Understanding public procurement in Brief**	5%

Total Weightage — **100%**

LEARNING OUTCOMES (OVERALL): NEPAL RASTRA BANK ACT, 2058

Candidates will be able to understand objectives and definition of related terms of the Act, explain the concept of Nepal Rastra Bank (NRB) along with its monetary functions and foreign exchange policies.

In the assessment, candidates may be required to:

a	State the objectives along with the definition of the related terms of the Act and establishment and functions, duties and powers of NRB.	Section 1 – 13
b	Identify the Board and functions, duties and powers of Board.	Section 14 – 38
c	Identify the financial provisions of NRB.	Section 39 – 43
d	Describe about the monetary functions and operation of open market, monetary unit, bank notes and coins along with foreign exchange policy, regulation and reserve.	Section 44 – 68

NEPAL RASTRA BANK ACT, 2058

Act No. 15 of the Year 2058

Date of Authentication and Publication:
17 Magh 2058



AMENDED BY:

1. Nepal Rastra Bank (First Amendment) Act, 2063 (2063.7.23)
2. Republic Strengthening and Certain Nepal Laws Amendment Act, 2066 (2066.10.7)
3. Amendment of Certain Nepal Laws Act, 2072 (2072.11.13)
4. Nepal Rastra Bank (Second Amendment) Act, 2073 (2073.7.29)
5. Amendment, Integration, Adjustment and Repeal of Certain Nepal Laws Act, 2074 (2074.6.30)
6. Amendment, Integration, Adjustment and Repeal of Certain Nepal Laws Act, 2074 (2075.12.4)
7. Amendment of Certain Nepal Laws Relating to the Civil Code Act, 2075 (2076.1.2)
8. Amendment of Certain Acts Relating to Prevention of Money Laundering and Promotion of Business Environment Act, 2080 (2080.12.30)
9. An Act to Amend Certain Nepal Acts Relating to Cooperatives, 2081 (2081.12.18)

PURPOSE

To establish a Nepal Rashtra Bank as the Central Bank to maintain the stability of price and balance of payment and stability of the entire financial sector to support the sustainable development of Nepal.



- Price Stability
- Balance of Payments
- Financial Sector Stability
- Sustainable Development of Nepal

KEY HIGHLIGHT

The Act establishes the Nepal Rashtra Bank as the Central Bank to maintain price stability, balance of payment and financial sector stability, and to support the sustainable development of Nepal.



Disclaimer: Nepal Rastra Bank (3rd Amendment) Bill, 2083 is currently in Parliament undergoing discussion, once enacted, amendments shall be covered separately.

State the objectives along with the definition of the related terms of the Act and establishment and functions, duties and powers of NRB. (Section 1 – 13)

LO	Syllabus content	Technical grid reference
LO 5a	❖ Preamble, short title and commencement ❖ Definitions ❖ Establishment of the bank ❖ Nature of the bank ❖ Objectives of the bank ❖ Functions, duties and powers of the bank ❖ Prior right of the bank ❖ Prohibitions to the bank ❖ Privileges available to the bank ❖ Coordination between GoN and the bank ❖ Coordination between public bodies and the bank ❖ Representation of Nepal by the bank in international scenarios ❖ Publications by the bank ❖ Operation of accounts by the bank	Section 1 to 13 of the Nepal Rastra Bank Act, 2058

SECTION 2 DEFINITIONS

(f) "COMMERCIAL BANK"



means a commercial bank established under the prevailing laws.

(g) "FINANCIAL INSTITUTION"



means a financial institution established under the prevailing laws with the objectives of providing loans for agricultural, cooperative, industrial or any other specific economic purpose or of collecting deposits from the general public, and this term also includes an institution prescribed as a financial institution by the Government of Nepal upon publishing notice in the Nepal Gazette.

(h) "MONEY"



means all types of currency notes, postal orders, postal notes, money orders, cheques, drafts, traveler's cheques, letters of credit, bills of exchange, promissory notes and credit cards, and this term also includes similar types of monetary instruments as the Bank may prescribe.

(i) "CURRENCY NOTE"



means the bank note in circulation in the form of cash, and this expression also includes coin.

(j) "FOREIGN CURRENCY"



means currency other than Nepalese currency, and includes special drawing rights on the IMF, Asian Currency Units, European Currency Units, and other instruments as the Bank may prescribe.

SECTION 2 DEFINITIONS

(m) "FOREIGN EXCHANGE"



means foreign currency and all types of deposits, credits, stocks, foreign securities, and negotiable instruments payable in foreign currencies, and any other instrument prescribed by the Bank.

(n) "FOREIGN EXCHANGE TRANSACTION"



means the acts of purchase and sale of foreign exchange, borrowing, giving credits, accepting or providing foreign exchange, and the act of granting approval for foreign exchange by the Bank.

(q) "SECURITIES"



means shares, stock, bonds, debentures, debenture stocks, certificates of unit/collective savings schemes (mutual funds), or transferable certificates of deposit issued by a corporate body, and includes related pledges and interests as notified.

(r) "NEGOTIATION"



means transferring an instrument to a person entitled to hold negonegotiable instruments, to become a bearer.

(s) "NEGOTIABLE BILL OF EXCHANGE"



means a letter of credit, bill of exchange, or cheque.

(t) "BILL OF EXCHANGE"



means an unconditional written order requiring payment of a certain sum to a specified person or bearer.

(u) "PROMISSORY NOTE"



means an unconditional written undertaking to pay a fixed amount to a specified person or bearer.

(w) "CREDIT"



means a direct or indirect promise to invest money, the right to recover investment with interest or charges, refinance, restructuring/renewal of credit, guarantees of repayment, and any type of debt.

NEPAL RASTRA BANK ACT

SECTION 3: ESTABLISHMENT & SECTION 4: OBJECTIVES OF THE BANK

SECTION 3: ESTABLISHMENT OF THE BANK

- Nepal Rastra Bank shall be established as the Central Bank of Nepal.
- Nepal Rastra Bank established under the Nepal Rastra Bank Act, 2012 (1955) shall be deemed established under this Act.
- The Bank shall be an autonomous corporate body with perpetual succession and a separate seal.
- Subject to this Act, the Bank may acquire, utilize, retain, sell, dispose of and manage movable and immovable property.
- The Bank may sue and be sued in its own name.
- The Central Office shall be in Kathmandu, and the Bank may establish offices within or outside Nepal and appoint agents or representatives as required.

SECTION 4: OBJECTIVES OF THE BANK

- Formulate and implement **monetary and foreign exchange policies** to maintain **price stability** and **balance of payments stability** for economic stability and sustainable economic development.
- Maintain stability of the banking and financial sectors to increase access to financial services and public confidence in the and monetary system.
- Develop a secure, healthy and efficient payment system.
- Cooperate in implementing Government of Nepal's economic policies without prejudicing the objectives under Section 4(1).

NEPAL RASTRA BANK:
FUNCTIONS, DUTIES AND POWERS

- To issue banknotes and coins.



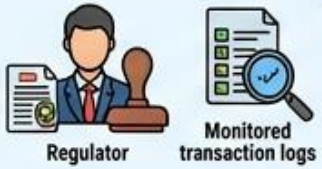
- To formulate and implement monetary policies for maintaining price stability.



- To formulate and implement foreign exchange policies, determine the foreign exchange rate system, and manage and operate foreign exchange reserves.



- To license commercial banks and financial institutions and regulate, inspect, supervise and monitor their banking and financial transactions.



- To issue directives and standards for regulation, inspection and supervision of cooperative organisations engaged in savings and loan transactions.



- At the request of the Department of Cooperatives, to regulate, inspect and supervise cooperative organisations having share capital exceeding Rs. 50 million or annual turnover exceeding Rs. 50 million based on financial governance and risk, exercising powers under prevailing cooperative laws.



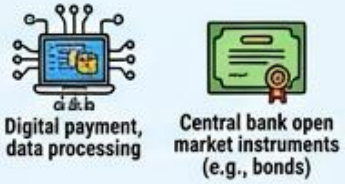
- To act as banker, advisor and financial agent of the Government of Nepal.



- To act as banker of commercial banks and financial institutions and function as the lender of last resort.



- To establish, promote and regulate payment, clearing and settlement systems and conduct open market operations through necessary instruments for liquidity management.



- To perform any other functions necessary to achieve the objectives of the Bank under this Act.



- While exercising powers under this Act or any other prevailing law, the Bank may perform incidental functions and take necessary actions.



- No person shall violate the powers conferred on the Bank under this Act.



SECTION 6: PRIOR RIGHT OF THE BANK

PRIOR RIGHT TO BORROWER'S ASSETS

- For recovery of any loan or other claim, the Bank shall **have prior right over cash deposited by the borrower** with the Bank, any commercial bank or financial institution, and over the borrower's movable and immovable property.

RECOVERY METHOD

- The Bank may recover its loan by **taking custody of the cash or property over** which it has prior **right** and selling such property as prescribed.

SECTION 7: FUNCTIONS NOT TO BE CARRIED OUT BY THE BANK

GENERAL PROHIBITIONS

- Except as otherwise provided in this Act, the Bank shall not provide loans, accept deposits or make financial gifts.
- The Bank shall not purchase shares of, or acquire proprietary rights in, any commercial bank, financial institution, public corporation, company or any financial, commercial, agricultural, industrial or other institution.
- The Bank shall not carry on any trade.
- The Bank shall not acquire movable or immovable property by purchase, lease or any other means, except property required for carrying out its functions or achieving its objectives.

PERMITTED INVESTMENTS (EXCEPTIONS)

- Notwithstanding Section 7(1), the Bank may provide loans to and invest in shares of institutions supporting its functions or objectives, subject to a maximum investment of 10% of the total capital of such institutions.

10%

SUCH INSTITUTIONS INCLUDE:

EXAMPLES OF PERMITTED INSTITUTIONS

- SECURITY VALUATION
- MANAGEMENT
- PROTECTION
- RESTRUCTURING AND TRANSFER
- CREDIT RATING
- CREDIT CREDIT INFORMATION EXCHANGE
- DATA PROCESSING AND TRANSMISSION
- PRINTING FINANCIAL INSTKUMENTS
- PAYMENT CLEARING
- ASSET LIQUIDATION
- BANKNOTE AND COIN PRODUCTION
- TRUSTEE SERVICES
- and other similar institutions prescribed by the Bank

The Bank may provide loans to its own employees.

SECTION 8:
PRIVILEGES AND FACILITIES TO THE BANK



- Notwithstanding anything contained in prevailing laws, the Bank shall be exempt from all taxes, fees and charges relating to income, capital transactions, houses, land and other assets.



- No registration fee shall be payable for registration of deeds relating to loans or refinance provided by the Bank.

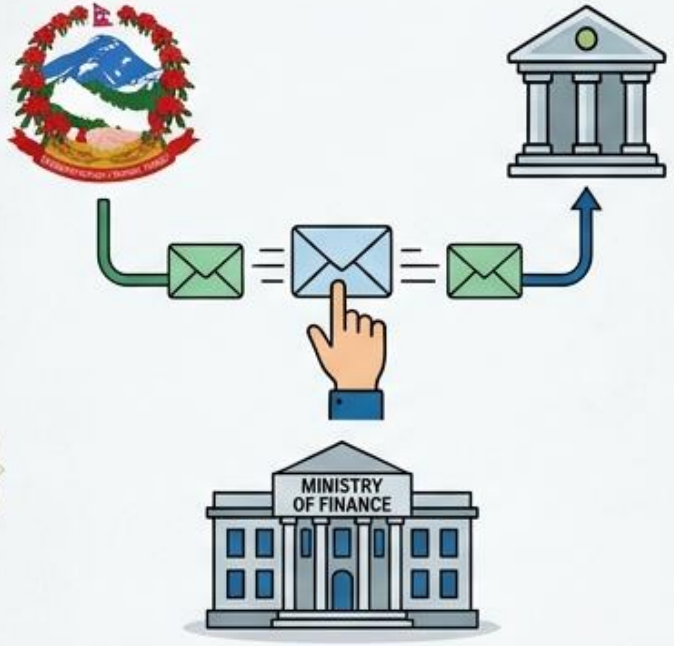


- No revenue stamps shall be required on documents relating to the Bank.



- No tax, fee, charge or duty shall be levied on the import or export of banknotes, coins, gold, silver, paper, metal, chemicals and other materials used for printing banknotes and minting coins.

SECTION 9:
RELATION BETWEEN THE GOVERNMENT OF NEPAL AND THE BANK

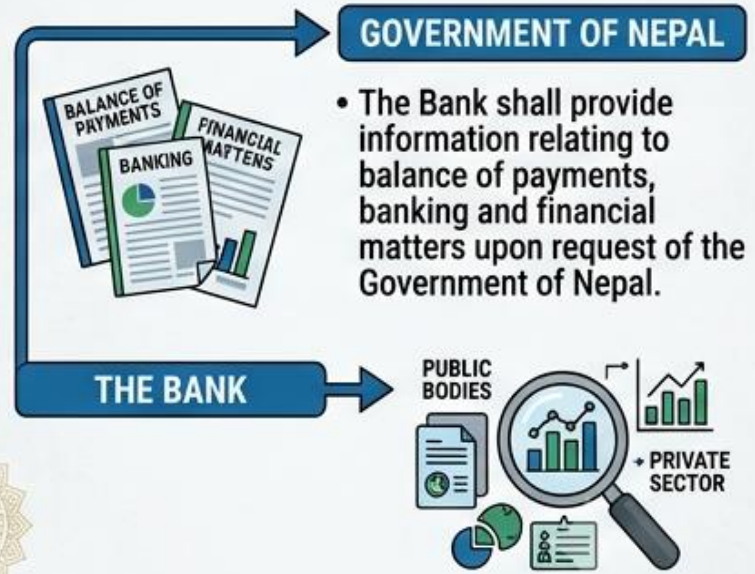


- All communications between the Government of Nepal and the Bank under this Act shall be made through the Ministry of Finance.

SECTION 10:
COORDINATION WITH PUBLIC BODIES



- The Bank may coordinate with public bodies, their agencies and organs as necessary to achieve its objectives.



- The Bank shall provide information relating to balance of payments, banking and financial matters upon request of the Government of Nepal.

- The Government of Nepal, public bodies and the private sector shall provide economic and financial information requested by the Bank.

FINANCIAL SECTOR ACT: SECTIONS 11, 12, & 13

SECTION 11: INTERNATIONAL COOPERATION AND RELATIONSHIP



Fictional organisations

Nepal's representative at international forums

- Text points on monsters,
- foreign exchange, etc.



Joining stability groups



Providing banking services to other entities



Discharging national duties

SECTION 12: FLOW OF PUBLIC INFORMATION



Publishing reports



Disseminating information

SECTION 13: OPERATION OF ACCOUNTS



ALLOWED



procédures prescribed by the Bank

NOT ALLOWED



procedures prescribed by the Bank

Identify the Board and functions, duties and powers of Board. (Section 14 – 38)

LO	Syllabus content	Technical grid reference
LO 5b	❖ Constitution of the board ❖ Governor, Deputy - Governor and Directors ❖ Qualifications of directors ❖ Dis-qualifications of directors ❖ Removal of directors ❖ Inquiry committee ❖ Resignation ❖ Public notice of appointment of governor ❖ Fulfilment of vacancy ❖ Acting governor ❖ Meetings and decisions of board ❖ Functions, duties and powers of the board ❖ Power to frame rules and byelaws ❖ Functions, duties and powers of the governor ❖ Delegation of power by governor ❖ Vested personal interests ❖ Management committee ❖ Audit committee ❖ Functions, duties and powers of audit committee ❖ Employees of a bank ❖ Oath of office ❖ Professional code of conduct and official responsibility ❖ Confidentiality ❖ Not to work in commercial bank or financial institutions	Section 14 to 38 of the Nepal Rastra Bank Act, 2058

GOVERNANCE STRUCTURE & APPOINTMENTS
(SECTIONS 14, 15, & 16)

SECTION 14: FORMATION OF THE BOARD

BOARD OF DIRECTORS

- Governor (CHAIRPERSON)
- Secretary, Ministry of Finance (MEMBER)
- Two Deputy Governors (MEMBERS)
- Three Directors

Appointed by Government of Nepal from renowned persons in:

- Economics
- Monetary affairs
- Banking
- Finance
- Commercial law



SECTION 15: APPOINTMENT OF THE GOVERNOR

Appointing authority: Council of Ministers, Government of Nepal

Recommendation Committee

- Minister of Finance (CHAIRPERSON)
- One former Governor (MEMBER)
- One Government-designated renowned person from relevant field (MEMBER)

Recommends 3 candidates, including eligible Deputy Governors

Council of Ministers appoints one from the recommended names.

SECTION 16: APPOINTMENT OF THE DEPUTY GOVERNOR

Appointing authority: Council of Ministers

Appointment is made on the recommendation of the Governor.

Governor recommends candidates twice the number of vacant posts.

Candidates must be Special Class Officers of the Bank, selected based on performance.

A person appointed as Deputy Governor is automatically retired from their previous Bank service.

SECTION 17: APPOINTMENT OF DIRECTORS

Appointing Authority: Council of Ministers

Directors Appointed from Renowned Persons Representing Different Sectors:

- Economics
- Monetary Affairs
- Banking
- Finance
- Commerce
- Management
- Commercial Law

SECTION 18: TENURE OF OFFICE OF DIRECTORS



- **Governor, Deputy Governor & Directors:** 5-year term
- **Governor:** May be reappointed for one additional term.
- **Directors:** May be reappointed for any term, if necessary.

SECTION 19: REMUNERATION & OTHER BENEFITS



Remuneration and benefits of the Governor, Deputy Governors and Directors are determined by the Board.

SECTION 20: QUALIFICATIONS OF DIRECTORS



- Be a Nepalese citizen
- Have high moral character
- Hold at least a Master's degree in a relevant field
- Have relevant work experience in economics, monetary affairs, banking, finance or commerce
- Not be disqualified under Section 21

SECTION 21: DISQUALIFICATION OF DIRECTORS



- Are a member/official of a political party
- Are blacklisted by a bank/financial institution
- Are currently engaged with a commercial bank/financial institution
- Hold 5% or more shares/voting rights in a commercial bank/financial institution
- Are bankrupt
- Are of unsound mind
- Have been convicted of an offence involving moral turpitude

SECTION 22: REMOVAL OF DIRECTORS FROM OFFICE



- Council of Ministers may remove the Governor, Deputy Governor or Director only on specified grounds.
- Person must be given a reasonable opportunity to be heard.

- Governor: Removal based on recommendation of the Inquiry Committee under Section 23.
- Deputy Governor/Director: Removal after inquiry and recommendation of the designated committee.
- Once removal proceedings begin, the person is *ipso facto* suspended.

- Grounds for Removal:
  - Disqualification under Section 21
  - Inability to perform duties or achieve the Bank's objectives
  - Acts causing loss/damage to the banking or financial system
  - Dishonest or mala fide conduct in Bank business
  - Revocation of professional licence or disqualification for gross misconduct
  - Absence from more than 3 consecutive Board meetings without genuine reason
- No removal is permitted except on these specified grounds.

Section 23: Constitution, Functions & Duties of Inquiry Committee

- **Purpose:** Inquiry before removal of the Governor.
- **Committee composition:**



Retired Supreme Court Justice designated by Government → **Chairperson**

- Two renowned persons from relevant sectors



→ **Members**

Functions & Duties:

- May record statements and conduct inquiry.
- May determine its own procedure.
- Must submit its recommendation **within 1 month.**

Section 24: Resignation by Director

- Governor, Deputy Governor or Director may resign.
- Resignation must be submitted in writing to the Government of Nepal.



Section 25: Public Notification of Governor's Appointment

- Government should normally appoint a new Governor **1 month** before the vacancy occurs.



- Government shall issue a public notice regarding the appointment.



Section 26: Fulfilment of Vacant Office

- If the office of Governor, Deputy Governor or Director becomes vacant before expiry of the term:



- Government shall appoint a replacement.
- Replacement serves only for the remaining term.



Section 27: Acting Governor

- Government shall designate the Senior Deputy Governor as Acting Governor when the Governor:



- Dies
- Resigns
- Becomes sick
- Goes on leave
- Is otherwise unable to perform duties

INFOGRAPHIC: RASTRIYA BANK ACT, SECTIONS 28 & 29

SECTION 28: MEETING OF THE BOARD

Frequency:
As required, but at least once a month

Presiding officer:
Governor

Frequency:
As required, but at least once a month

Governor calls the meeting.

Meeting must be called if 3 Directors submit a written request.

Board may frame bye-laws for meeting procedures.

Quorum: At least 3 Directors + presiding officer, including at least 1 Director appointed under Section 14(d).

Decision:
Majority vote prevails.

In case of a tie, the presiding officer has a casting vote.

SECTION 29: FUNCTIONS, DUTIES & POWERS OF THE BOARD

- Formulate monetary and foreign exchange policies.
- Decide denominations, figures, size, metal/materials of notes and coins, and their issuance policy.
- Formulate policies for supervision and inspection of banks and financial institutions.
- Approve Rules, Bye-laws and operational policies of the Bank.
- Formulate HR policies, including appointment, promotion, transfer, dismissal, remuneration, pension, gratuity, provident fund, leave and code of conduct.
- Approve annual programs, budget and annual audit and submit reports to Government.
- Approve the annual activity report.
- Formulate policies for issuance and revocation of licences.
- Approve the annual activity report.
- Formulate policies for issuance and revocation of licences.
- Approve loan limits to the Government.
- Determine loan and refinance terms for banks and financial institutions.
- Decide on membership in international institutions/organizations.
- Formulate the investment policy for the Bank's resources.
- Propose amendments to the Act to the Government.
- Decide matters not within the Governor's authority.
- Delegate powers to the Governor or sub-committees.

SECTION 30, 31, & 32: POWERS & DUTIES OF THE GOVERNOR



SECTION 30: FUNCTIONS, DUTIES & POWERS OF THE GOVERNOR

- Implement decisions of the Board.
- Operate and manage the Bank.
- Systematize the Bank's functions.
- Represent the Bank internationally.
- Implement monetary and foreign exchange policies.
- Formulate interest rate policies for deposits and loans.
- Formulate policies on interest rates charged/paid by banks and financial institutions.
- Formulate liquidity policy.
- Determine the basis, amount, method and use of compulsory deposits.
- Fix capital adequacy requirements.
- Determine procedures for gold and precious metal transactions.
- Fix capital adequacy requirements. Fix capital-procedures.
- Determine procedures for gold and precious metal transactions.
- Fix service charges.
- Decide on opening/closing Bank offices.
- Establish or close agencies of the Bank.
- Arrange information systems.
- Arrange supervision of banks and financial institutions.
- Decide on revocation of licences.
- Exercise other powers delegated by the Board.
- Exercise powers generally exercised by central bank governors internationally.

SECTION 31: DELEGATION OF POWERS



Governor may delegate powers/authority to:

- Deputy Governor; or
- Other employees of the Bank.

Purpose: Smooth and effective conduct of Bank business.

SECTION 32: PROHIBITION ON VESTED PERSONAL INTERESTS

Governor, Deputy Governor and Director must disclose their direct or indirect commercial interests, including those of family members, to the Board **every 6 months**.

Any personal interest in a matter before the Board must be disclosed before discussion.

The concerned person cannot participate in the discussion on that matter.

Governor and Deputy Governor must publicly disclose property held in their own and family members' names:

- Within 1 month of appointment
- Upon retirement

SECTION 33: MANAGEMENT COMMITTEE

Constituted under: **BOARD**

CHAIRPERSON: **GOVERNOR**

MEMBERS: **TWO DEPUTY GOVERNORS**

MEMBER-SECRETARY: **SENIOR BANK OFFICER**

PURPOSE: Ensure smooth conduct of Bank business.

- **Functions, duties and powers** are as prescribed.
- **Governor** may invite other officers to Committee meetings.
- Committee shall periodically assess monetary and financial conditions.
- Must report its assessment to the Board at least once a month.

SECTION 34: AUDIT COMMITTEE

- Board-designated Director → **COORDINATOR**
- Subject expert → **MEMBER**
- Chief, Internal Audit Department → **MEMBER**

AUDIT COMMITTEE

SECTION 35: FUNCTIONS, DUTIES & POWERS OF AUDIT COMMITTEE

REPORT/RECOMMEND TO THE BOARD ON:

- **ACCOUNTS**
- **BUDGET**
- **AUDIT PROCEDURES**
- **INTERNAL CONTROL SYSTEMS**

VERIFY PROPER CONDUCT OF AUDITS and periodic preparation of balance sheets.

SUPERVISE IMPLEMENTATION OF RISK MANAGEMENT.

AUDIT MANAGERIAL AND WORK PERFORMANCE for compliance with prevailing laws.

FRAME AUDIT BYE-LAWS in accordance with prevailing law and international standards, and submit them to the Board for approval.

PROVIDE RELEVANT INFORMATION TO THE GOVERNOR whenever it reports to the Board.

REGULATIONS FOR BANK OFFICIALS & EMPLOYEES

SECTION 36: EMPLOYEES OF THE BANK

- APPOINTING AUTHORITY: BOARD



- BOARD SHALL APPOINT NECESSARY EMPLOYEES FOR THE BANK.



- TERMS, CONDITIONS, REMUNERATION AND BENEFITS SHALL BE AS PRESCRIBED.



CONTRACT



MONEY



HEALTH BENEFITS

SECTION 37: PROFESSIONAL CODE OF CONDUCT & OFFICIAL RESPONSIBILITY

- GOVERNOR AND DEPUTY GOVERNORS MUST DEVOTE THEIR FULL PROFESSIONAL SERVICE TO THE BANK.



- THEY CANNOT HOLD ANY OTHER PAID OR UNPAID POSITION, EXCEPT POSITIONS IN NON-PROFIT PROFESSIONAL ASSOCIATIONS, SUCH AS:
  - Medical associations
  - Bar associations
  - Bankers' associations
  - Engineers' associations
  - Chartered Accountants' associations
- MUST GIVE HIGHEST PRIORITY TO THE INTERESTS OF THE BANK.



- MUST NOT ACCEPT GIFTS OR LOANS THAT MAY CREATE UNDUE INFLUENCE.



SECTION 38: CONFIDENTIALITY

- GOVERNOR, DEPUTY GOVERNOR, DIRECTORS, EMPLOYEES, ADVISORS, AUDITORS, AGENTS AND REPRESENTATIVES SHALL NOT:
  - ✗ DISCLOSE CONFIDENTIAL INFORMATION; OR
  - ✗ USE CONFIDENTIAL INFORMATION FOR PERSONAL GAIN.
- PERMITTED DISCLOSURE:
  - IN THE DISCHARGE OF PUBLIC DUTY, ASSISTANCE TO LAW ENFORCEMENT, OR PURSUANT TO AN ORDER OF A COURT/AUTHORIZED OFFICER.



  - TO EXTERNAL AUDITORS AND EMPLOYEES OF INTERNATIONAL FINANCIAL INSTITUTIONS.





  - FOR LEGAL PROCEEDINGS/ACTIONS IN THE INTEREST OF THE BANK.





DESIGNED FOR INFORMATION PURPOSES

Sections 106A, 108 & 110

Related to LO 5b

Section 106A: Not to work in commercial bank or financial institution
Section 108: Oath of office
Section 110: Power to frame rules and bylaws

Note: LO 5b (Section 14 – 38) lists the topics 'Oath of office', 'Not to work in commercial bank or financial institutions' and 'Power to frame rules and byelaws'. In the amended Act these provisions appear in Chapter 12 (Sections 106A, 108 and 110), outside the stated range, so they are added here for completeness. The slides that follow also cover the neighbouring Chapter 12 sections.

INFOGRAPHIC: KEY SECTIONS ON BANK GOVERNANCE & OPERATIONS

Section 103: Repealed

Section 103 has been repealed.

Section 104: Collection of Data



Data Collection:



- Itself;
- Government of Nepal;
- Other relevant agencies.



authorized persons, institutions, organizations and international associations

Data Management:



The Bank may make necessary arrangements for coordination and improvement in the collection, storage and distribution of data within its jurisdiction.

Section 105: Trust Accounts

The Bank may open and operate separate trust accounts for special purposes.



- Money deposited in a trust account shall be used only for its specified purpose.
- Assets of a trust account shall be used only to meet liabilities of that account.
- Funds or assets from other Bank accounts cannot be used to meet liabilities of a trust account.



Section 106: Actions Not to be Invalid

Actions taken by the Bank or Board shall not become invalid merely because:

- There was an irregularity in the appointment of the Governor, Deputy Governor or Director;
- There was an irregularity in the constitution/form of the Board;
- The position of Governor, Deputy Governor or Director was vacant.

Section 106A: Restriction on Working in Commercial Banks or Financial Institutions

Governor:



A person who has served as Governor shall not work in any capacity in a commercial bank or financial institution.

Post-Retirement Restrictions:

- **Deputy Governor & Executive Director:** 3 YEARS



- **Officer-level staff:** 2 YEARS



Cannot work in a commercial bank/financial or leaving office.

- After the restriction period, a former Deputy Governor, Executive Director or officer must obtain prior approval of the Bank before joining a commercial bank or financial institution.

Exception: These restrictions do not apply to positions appointed by the Government of Nepal.



Section 106B: Expert Service to Government

If requested by the Government of Nepal, the Bank shall provide the services of its experts.





Section 106C: Government May Give Directives

Power to Issue Directives:
The Government of Nepal may issue directives to the Bank concerning:



Currency



Banking



Finance

Duty to Comply:
The Bank is required to comply with directives issued by the Government under sub-section (1).

Section 107: No Responsibility for Acts Done in Good Faith



1. Protection for Good-Faith Actions:
   - The Governor, Deputy Governor, Director, Bank staff and Special Administration Team shall not be personally or collectively liable for acts done in good faith under:
     - This Act;
     - Regulations/bye-laws; or
     - Orders/directives issued under the Act.

   Exception: They shall be personally liable for acts done knowingly or with mala fide intention.
2. Legal Expenses:
   - If a lawsuit is filed against the Governor, Deputy Governor, Director or Bank official for loss arising from an act done or attempted in good faith, the Bank shall bear the legal expenses.
   - The Bank shall not bear such expenses where the action was done knowingly or with mala fide intention.



Section 108: Oath of Office



1. Governor, Directors & Deputy Governor:
   - Governor and Directors must take the oath of office and secrecy before the Chief Justice of the Supreme Court or a Justice designated by the Chief Justice.
   - Deputy Governor takes the oath before the Governor.
   - The oath must be taken before assuming office.
2. Employees and Advisors:
   - Employees or advisors appointed for the first time must take the prescribed oath of office and secrecy before assuming their position.

Section 109: This Act to Prevail

- Notwithstanding other prevailing laws, the provisions of this Act shall prevail wherever applicable.



Section 110: Power to Frame Rules and Bye-laws

1. Rules by the Bank with Government Approval

With approval of the Government of Nepal, the Bank may frame Rules relating to:



(a) Foreign exchange transactions;

(b) Exchange/refund of burnt, torn, defaced or mutilated banknotes and coins;

(c) Transactions between the Government of Nepal and the Bank; and

(d) Other matters necessary to implement the objectives of the Act.

2. Bye-laws by the Board

The Board may frame bye-laws concerning:

(a) Board meeting venue, time and procedures;
(b) Formation and procedures of Board sub-committees;
(c) Appointment, promotion, transfer, dismissal, remuneration, facilities, pension, gratuity, provident fund, leave, conduct, discipline and service conditions of Bank employees;
(d) Delegation of authority by the Board to the Governor and by the Governor to the Deputy Governor/other employees;
(e) Terms and conditions of Bank lease agreements;
(f) Use of the Bank's seal;
(g) Accounts, ledgers, registers, books, records and documents and their formats;
(h) Internal audit and inspection;
(i) Supervision of commercial banks and financial institutions;
(j) Information/details to be submitted by commercial banks and financial institutions;
(k) Bank cash deposits and responsibility for cash;
(l) Filing cases on behalf of the Bank and conducting other business;
(m) Credit control;
(n) Bank expenditure system;
(n1) Merger of commercial banks and financial institutions;
(n2) Prompt corrective/reformative action for commercial banks and financial institutions;
(n3) Credit information;
(n4) Payment and account settlement;
(n5) Clearing and settlement;
(n6) Licences issued by the Bank; and
(o) Other matters necessary to implement the objectives of the Act.



3. Orders, Directives, Procedures and Guidelines

For matters not covered by sub-sections (1) and (2), the Governor may issue orders, directives, procedures and guidelines under the Act.



4. Information to Government

The Bank shall forward to the Government of Nepal for information:

- Bye-laws framed by the Board; and
- Orders/directives issued by the Governor.



5. Publication

The Bank shall publish and circulate the bye-laws, orders and directives issued under this section.



Section 111: Guidelines to be Framed and Implemented

- The Bank may, from time to time, frame and implement necessary guidelines to achieve the objectives of the Act.
- Such guidelines must be consistent with this Act, Rules and Bye-laws made under it.



Section 112: Repeal and Saving

1. Acts Repealed

The following Acts are repealed:

(a) Nepal Rastra Bank Act, 2012 (1955)
(b) Currencies Act, 2040 (1983)



2. Saving of Previous Actions

All acts and activities carried out under the repealed Acts shall be deemed to have been carried out under this Act.



Identify the financial provisions of NRB. (Section 39 – 43)

LO	Syllabus content	Technical grid reference
LO 5c	❖ Capital of the bank ❖ Computation of net profit or loss ❖ Allocation of net profit ❖ Allocation of net loss ❖ Annual budget	Section 39 to 43 of the Nepal Rastra Bank Act, 2058

CHAPTER 4: FINANCIAL PROVISIONS

Infographic Overview

Section 39: Capital of the Bank

- Capital: Rs. 5 billion
- Provided by the Government of Nepal
- Cannot be transferred or encumbered with debt
- Government may alter the capital in consultation with the Bank

Section 40: Computation of Net Profit & Loss

- Bank shall prepare profit/loss accounts every fiscal year
- Accounts prepared according to Nepal Accounting Standards (NAS)
- Where Nepal standards not cover, international accounting standards apply
- Net profit determined after:
  - Deducting bad and doubtful debts
  - Deducting depreciation
  - Adjusting profit/loss
  - Adjusting net valuation gain/loss

Section 41: Allocation of Net Profit

NET PROFIT

Revaluation profit	→ Revaluation Reserve Fund
5%	→ Monetary Liability Fund
At least 10%	→ General Reserve Fund, as fixed by Board
5%	→ Financial Stability Fund
Board-fixed amount	→ Net Accumulated Savings Fund
Remaining profit	→ Government of Nepal

- Additional amount may be allocated to General Reserve Fund for capital expenditure included in the annual budget
- General Reserve Fund & Accumulated Savings Fund may be used to increase Bank capital
- Other amounts → allocated as prescribed by Rules

Section 42: Allocation of Net Loss

NET LOSS

1. Revaluation Reserve Fund
2. Accumulated Savings Fund
3. General Reserve Fund
4. Capital Account

- Any loss that cannot be adjusted from these sources shall be borne by the Government of Nepal

Section 43: Annual Budget

- Board shall approve the Bank's estimated income, expenditure and programs before each fiscal year
- Budget may be amended quarterly (Q1 ↔ Q4)
- Approved budget shall be sent to the Government of Nepal for information

Describe about the monetary functions and operation of open market, monetary unit, bank notes and coins along with foreign exchange policy, regulation and reserve. (Section 44 – 68)

LO	Syllabus content	Technical grid reference
LO 5d (1/3)	❖ Monetary functions and operation of open market ❖ Monetary policy ❖ Operation of open market ❖ Compulsory deposits in commercial banks and financial institutions ❖ Failure to maintain compulsory deposit ❖ Discount operation ❖ Loan and refinance to commercial banks and financial institutions ❖ Discount rate and rate of interest for refinance	Section 44 to 50 of the Nepal Rastra Bank Act, 2058

CHAPTER 5: MONETARY FUNCTIONS AND OPERATION OF THE OPEN MARKET

Key Provisions at a Glance

44 MONETARY POLICY

The Bank has full authority to:

- **Formulate** Nepal's monetary policy
- **Implement** monetary policy
- **Cause** monetary policy to be implemented

45 OPERATION OF OPEN MARKET TRANSACTIONS

- Bank may conduct open market transactions by purchasing or selling:
  - Government debentures
  - Bank debentures
- May manage short-term liquidity through:
  - Repurchase (Repo) agreements
  - Reverse repurchase (Reverse Repo) agreements
- May issue other appropriate financial instruments for open market operations.

46 COMPULSORY DEPOSIT OF BANKS & FINANCIAL INSTITUTIONS



- Bank may direct commercial banks and financial institutions to maintain **compulsory reserves.**
- Reserve requirement is based on:
  - **Deposits**
  - **Borrowed funds**
  - **Other liabilities**
- Calculation is based on the prescribed **daily average deposit duration.**

47 FAILURE TO MAINTAIN COMPULSORY DEPOSIT



Failure to maintain the required compulsory deposit/reserve attracts a fine.

Fine may be up to

3 TIMES

the Bank's maximum prescribed bank rate for the period of default.

48 DISCOUNT OPERATION



Bank may conduct discount transactions on:

(a) Promissory notes / bills of exchange signed by at least 2 parties, including a commercial bank, payable within **6 months.**

(b) Government or Bank debt bonds payable within **6 months** of acquisition.

Discount rates, terms and procedures are as prescribed.

49 LOAN AND REFINANCE TO COMMERCIAL BANKS AND FINANCIAL INSTITUTIONS

(1) Bank may provide loans / refinance for **up to 1 year** against:

- International negotiable instruments
- Government debt bonds
- Bank deposits, gold or precious metals
- Bills / promissory notes under Section 48(1)
- Other prescribed securities

(2) Bank may provide credit for **up to 1 year:**

At Government request for public interest

OR

As lender of last resort in extraordinary circumstances

(3) Such credit may be renewed for

1 ADDITIONAL YEAR

as prescribed.

50 DISCOUNT RATE AND RATE OF INTEREST FOR REFINANCE



Bank shall **fix and publish** discount rate and refinance interest rate from time to time.

Purpose: These provisions empower the Bank to manage liquidity, control credit, maintain financial stability, and support economic growth through effective monetary instruments and policies.

NEPAL RASTRA BANK

Describe about the monetary functions and operation of open market, monetary unit, bank notes and coins along with foreign exchange policy, regulation and reserve. (Section 44 – 68)

LO	Syllabus content	Technical grid reference
LO 5d (2/3)	❖ Monetary unit ❖ Power to issue bank notes and coins ❖ Bank notes and coins to be acceptable all ❖ Measurement, weights and sizes of coins ❖ Issuance of currency and security ❖ Provisions for exchange of currency ❖ Soiled or counterfeit currency ❖ Provisions relating to currency inventory and issuance of currency ❖ Account of issued currency ❖ Currency recall ❖ Reproduction and counterfeiting of currency	Section 51 to 61 of the Nepal Rastra Bank Act, 2058

CHAPTER 6: MONETARY UNIT, BANKNOTES AND COINS



51 MONETARY UNIT



- The Rupee is Nepal's monetary unit, divided into 100 Paisa.
- The Rupee is legal tender within Nepal, guaranteed by the Government of Nepal.

52 POWER TO ISSUE BANKNOTES AND COINS

1 Monopoly



The Bank has monopoly over issuance of banknotes and coins, which are legal tender.

2 Issue Against Security



Notes issued only against security equal to their value.

- At least 50% (or 40% with Govt. permission) in gold, silver, foreign currency, securities or bills.
- Remainder in coins, Govt. debt bonds, promissory notes or bills payable within 18 months.

3 Valuation Basis



Valuation basis specified for:

- Gold
- Silver
- Foreign currencies
- Debt bonds / securities
- Coins

4 Denominations & Features



Denominations, figures and size require Govt. approval.

Internal security features and materials are decided by the Board.

5 Restriction of Legal Tender



Government, in consultation with the Board, may restrict legal tender status of denominations to certain places.

6 No Reissue of Damaged Notes



The Bank shall not reissue torn, defaced or excessively soiled notes.

7 Minting & Circulation of Coins



The Bank may, with Govt. approval, mint and circulate coins (including via foreign mints).

8 Minting for Foreign Governments



The Bank may, with Govt. approval, mint coins for foreign governments.

9 Responsibility



The Bank is responsible for payment of its issued notes and pre-Bank Govt.-issued notes.

10 No Other Liability



No other liability is borne from the security property for the issuance of notes.

53 BANK NOTES AND COINS TO BE ALL ACCEPTABLE



Bank notes and coins are acceptable at face value for the repayment of all public and private debts within Nepal.

54 MEASUREMENT, WEIGHTS AND SIZE OF COINS



Face value, measurement, weight, size and other features of coins are prescribed by the Board.

55 ISSUANCE OF CURRENCY AND SECURITY



Matters relating to:

- Printing / minting of notes and coins
- Securing unisused notes and coins
- Safekeeping and destroying old currency, plates and dies

are as prescribed.

56 PROVISIONS ON EXCHANGE OF CURRENCY



The Bank shall, without fee, exchange legal tender notes and coins for notes or coins of the same or different denominations of equal value.

57 SOILED OR COUNTERFEIT CURRENCY



(1) The Bank may withdraw, destroy or replace soiled currency.
(2) The Bank may deny replacement of currency that is defaced, torn or more than 50% destroyed.
(3) The Bank may withdraw or destroy such currency with or without compensation.
(4) No compensation for lost or stolen currency; counterfeit or altered currency may be forfeited without compensation.

58 PROVISIONS RELATING TO CURRENCY INVENTORY AND ISSUANCE OF CURRENCY



The Bank shall manage currency stock and regularly supply banknotes and coins to meet the demand of the public.

59 ACCOUNT OF ISSUED CURRENCY



The Bank shall maintain accounts of all circulating banknotes as monetary liability, excluding the stock of notes and coins not in circulation.

60 CURRENCY RECALL OR WITHDRAWAL



(1) The Bank may recall banknotes or coins by exchange and give public notice of the exchange period and place.
(2) After the expiry of the notice period, unexchanged notes or coins shall cease to be legal tender.
(3) The Bank may destroy the withdrawn or defective currency as prescribed.

61 REPRODUCTION AND COUNTERFEITING OF CURRENCY



(1) Prohibited acts:
  (a) Forging, counterfeiting or altering currency, cheques or payment cards.
  (b) Possessing, transporting or issuing such items knowing they are false.
  (c) Possessing or transporting materials intended for such falsification.
(2) Reproduction of currency, securities or payment cards requires prior written authorication of the Bank.
(3) The Bank may take appropriate action, including issuing orders or directives, to prevent counterfeiting.

Purpose: These provisions ensure a stable and trusted currency system through proper issuance, management, and protection of Nepal's monetary unit, banknotes and coins.

NEPAL RASTRA BANK

Describe about the monetary functions and operation of open market, monetary unit, bank notes and coins along with foreign exchange policy, regulation and reserve. (Section 44 – 68)

LO	Syllabus content	Technical grid reference
LO 5d (3/3)	❖ Foreign exchange policy ❖ Management of foreign exchange ❖ Particulars of foreign exchange dealings ❖ Dealing in foreign exchange ❖ Foreign exchange reserve ❖ Issuance of debt bond against gold and foreign currency ❖ International clearing and payment agreements	Section 62 to 68 of the Nepal Rastra Bank Act, 2058

CHAPTER 7: FOREIGN EXCHANGE POLICY, REGULATION & RESERVE

62 FOREIGN EXCHANGE POLICY



The Bank has full authority to:

- Formulate Nepal's foreign exchange policy
- Implement the foreign exchange policy

63 MANAGEMENT OF FOREIGN EXCHANGE

The Bank shall manage foreign exchange by:

- Licensing foreign exchange dealers
- Framing rules and directives for dealers
- Inspecting and supervising dealers
- Prescribing terms and conditions for foreign exchange transactions
- Prescribing the system for determining exchange rates

64 PARTICULARS OF FOREIGN EXCHANGE TRANSACTIONS



1. License-holders must submit detailed particulars of foreign currency exchange/ transactions as prescribed.
2. It is the license holder's duty to submit such particulars and documents.

65 DEALING IN FOREIGN EXCHANGES



1. The Bank may purchase and sell foreign exchange, gold and precious metals.
2–3. Transactions may be conducted through:
   - Spot
   - Forward
   - Swap
   - Option

   or similar instruments.
4. The Bank deals after fixing buy/sell rates, subject to prescribed basis, limits and conditions.

66 FOREIGN EXCHANGE RESERVE

(1) RESERVES MAY COMPRISE:

- Gold and precious metals
- Foreign currencies held directly or in foreign bank accounts
- SDR — Special Drawing Rights (SDRs) held at the IMF
- Debt instruments denominated in convertible currencies
- Forward / repurchase agreements
- Futures / options with foreign central banks or international institutions

2. Asset selection should consider capital and liquidity to maximize earnings.
3. Reserves must be adequate for:
   - Implementing monetary and exchange rate policies
   - Prompt international payments / settlements
4–5. If reserves fall to a dangerously low level, the Bank must report to Government with recommendations. Reporting continues until the situation is rectified.
6. Foreign exchange reserves are shown in the Bank's balance sheet.



67 ISSUANCE OF DEBT BOND AGAINST GOLD AND FOREIGN CURRENCY



1. The Bank may, with Government approval, issue debt bonds denominated in:
   - GOLD
   - $ € ¥ FOREIGN CURRENCY
2. Types, duration and payment terms are as prescribed by the Bank.

68 INTERNATIONAL CLEARING AND PAYMENT AGREEMENTS



1. The Bank may enter into clearing and payment agreements with:
   - Foreign public or private central clearing unions
   - Other relevant international institutions
2. Such agreements may be entered into for the Bank's own account or Government's account.
3. The Bank may enter into other necessary related agreements.

PURPOSE: These provisions empower the Bank to manage foreign exchange, regulate the market, maintain adequate reserves, and ensure stability in international transactions and payments.

NEPAL RASTRA BANK
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